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IN THE UNITED STATES BANKRUPTCY COURT
NORTHERN DISTRICT OF OHIO

IN RE ALRACHID LLC,
Debtor

CASE NO. 24-12309
JUDGE KOCH
CHAPTER 11
SUBCHAPTER V

ALRACHID LLC, DEBTOR-IN-POSSESSION
Plaintiff
v.
HEADWAY CAPITAL LLC
Defendant

ADVERSARY NO.

ALL DOCUMENTS REGARDING THIS MATTER MUST BE IDENTIFIED BY **BOTH** ADVERSARY AND BANKRUPTCY CASE NUMBERS AND NAME OF JUDGE

ADVERSARY COMPLAINT TO DETERMINE THE VALIDITY, PRIORITY OR EXTENT OF A LIEN OR OTHER INTEREST IN PROPERTY; OBJECTING TO CLAIM; TO RECOVER PREFERENTIAL AND FRAUDULENT TRANSFERS, TO RECOVER FOR BREACH OF CONTRACT AND FRAUD, TO OBTAIN A DECLARATORY JUDGMENT RELATING TO THE FOREGOING AND OTHER RELIEF

JURISDICTION

1. The court has jurisdiction over this adversary proceeding pursuant to 28 U.S.C. § 1334(b) and (d).

2. This adversary proceeding is a core proceeding pursuant to 28 U.S.C. § 157(b)(2)(A), (B), (C), (K) and (O).

3. Pursuant to Bankruptcy Rule 7012(b), Plaintiff consents to entry of final orders and/or judgment by the bankruptcy judge if it is determined that the bankruptcy judge, absent consent of the parties, cannot enter final orders of judgments consistent with Article III of the United States Constitution.

PARTIES

4. Plaintiff Alrachid LLC ("Debtor") is the debtor, debtor in possession and reorganized debtor for the bankruptcy case in which this adversary proceeding is commenced.

UNITED STATES BANKRUPTCY COURT
NORTHERN DISTRICT OF OHIO

In re:
ALRACHID LLC,

Debtor.

) Case No. 24-12309
) Chapter 11 (Subchapter V)
) Judge Koch

ALRACHID LLC,
DEBTOR-IN-POSSESSION
Plaintiff,

v.

HEADWAY CAPITAL LLC
Defendant.

) Adv. Pro. No. 25-01091

ADVERSARY COMPLAINT TO DETERMINE THE VALIDITY, PRIORITY OR EXTENT OF A LIEN OR OTHER INTEREST IN PROPERTY; OBJECTING TO CLAIM; TO RECOVER PREFERENTIAL AND FRAUDULENT TRANSFERS, TO RECOVER FOR BREACH OF CONTRACT AND FRAUD, TO OBTAIN A DECLARATORY JUDGMENT RELATING TO THE FOREGOING AND OTHER RELIEF

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PARTIES

4. Plaintiff Alrachid LLC ("Debtor") is the debtor, debtor in possession and reorganized debtor for the bankruptcy case in which this adversary proceeding is commenced.

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5. Defendant Headway Capital LLC ("Defendant") may be served with the summons and complaint by first class mail postage prepaid sent to Chief Legal Officer, Headway Capital LLC, 175 W Jackson St Ste 1000, Chicago, IL 60604 and/or Chief Legal Officer, Headway Capital LLC, CT Corporation System, 4400 Easton Commons Way, STE 125 Columbus OH 43219.

BACKGROUND

6. On June 11, 2024 (the "Petition Date"), the Debtor filed its voluntary petition for relief under chapter 11 of title 11 of the United States Code (the "Bankruptcy Code"). The Debtor has continued in possession of his property and has continued to operate and manage its businesses as debtor-in-possession pursuant to §§ 1107(a) and 1108 of the Bankruptcy Code. The Debtor's plan of reorganization [Case Doc. 126] was confirmed by the court on January 22, 2025 [Case Doc. 132].

7. Defendant filed the proof of claim a copy of which is attached as Exhibit A ("Claim"). The Claim arises from a prepetition agreement between the Debtor and Defendant dated April 13. 2021 and attached to the Claim ("Agreement"). The Claim and the Agreement are not enforceable against the Debtor.

8. Under the Agreement, the Defendant extended a line of credit to the Debtor in the maximum amount of $32,500.00.

9. From time to time the Debtor drew on the line of credit and made repayments on the line of credit. These amounts were paid by an ACH debit from the Debtor's operating checking account.

10. The Agreement states that it has an effective annual percentage rate of 63%.

11. To ensure recovery of the full amount of the amount owed, Defendant also took a security interest in all assets of the Debtor: However, the Defendant did not file a UCC Financing Statement with the Ohio Secretary of State until June 10, 2024 one day before the Petition Date.

12. Defendant also obtained the personal guarantee of the Debtor's president and sole shareholder, Tom Souaid and had the right to enforce the security interest and the guarantee upon default.

13. Under the Agreement the Debtor made the payments to the Defendant on the dates and in the amounts set forth on Exhibit B ("Payments").

COUNT II – INVALID LOAN UNDER STATE LAW

14. Plaintiff realleges each of the paragraphs above as incorporated by reference here.

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5. Defendant Headway Capital LLC ("Defendant") may be served with the summons and complaint by first class mail postage prepaid sent to Chief Legal Officer, Headway Capital LLC, 175 W Jackson St Ste 1000, Chicago, IL 60604 and/or Chief Legal Officer, Headway Capital LLC, CT Corporation System, 4400 Easton Commons Way, STE 125 Columbus OH 43219.

BACKGROUND

6. On June 11, 2024 (the "Petition Date"), the Debtor filed its voluntary petition for relief under chapter 11 of title 11 of the United States Code (the "Bankruptcy Code"). The Debtor has continued in possession of his property and has continued to operate and manage its businesses as debtor-in possession pursuant to §§ 1107(a) and 1108 of the Bankruptcy Code. The Debtor's plan of reorganization [Case Doc. 126] was confirmed by the court on January 22, 2025 [Case Doc. 132].

7. Defendant filed the proof of claim a copy of which is attached as Exhibit A ("Claim"). The Claim arises from a prepetition agreement between the Debtor and Defendant dated April 13. 2021 and attached to the Claim ("Agreement"). The Claim and the Agreement are not enforceable against the Debtor.

8. Under the Agreement, the Defendant extended a line of credit to the Debtor in the maximum amount of $32,500.00.

9. From time to time the Debtor drew on the line of credit and made repayments on the line of credit. These amounts were paid by an ACH debit from the Debtor's operating checking account.

10. The Agreement states that it has an effective annual percentage rate of 63%.

11. To ensure recovery of the full amount of the amount owed, Defendant also took a security interest in all assets of the Debtor: However, the Defendant did not file a UCC

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15. The Agreement is criminally usurious loan under Ohio Law and unenforceable against the Debtor.

COUNT III – IMPLIED FRAUDULENT TRANSFER FEDERAL LAW

16. The allegations of each of the paragraphs above are incorporated by reference here.

17. The Debtor received less than a reasonably equivalent value from Defendant in exchange for the Payments.

18. On the date(s) of the transfers of the Payments, the sum of the Debtor's debts was greater than all of the Debtor's property, at a fair valuation, exclusive of property transferred, concealed, or removed with intent to hinder, delay, or defraud his creditors; or it became insolvent as a result of the transfers of the Payments.

19. At the time of the transfers of the Payments, the Debtor was engaged in business or a transaction, or was about to engage in business or a transaction, for which any property remaining with the Debtor was an unreasonably small capital.

20. At the time of the transfers of the Payments, the Debtor intended to incur, or believed that the Debtor would incur, debts beyond the Debtor's ability to pay as such debts matured.

21. Therefore, the transfers of the Payments may be avoided pursuant to 11 U.S.C. §548 and are recoverable from the Defendant pursuant to section 550(a).

COUNT IV – IMPLIED FRAUDULENT TRANSFER—STATE LAW

22. The allegations of each of the paragraphs above are incorporated by reference here.

23. The Debtor owed money to creditors holding allowable unsecured claims against this bankruptcy estate before the time of the transfers of the Payments.

24. The Debtor did not receive a reasonably equivalent value in exchange for the Payments.

25. The sum of the Debtor's debts was greater than all of the assets of the Debtor at fair valuation at the time of the transfers of the Payments.

26. The Debtor was generally not paying its debts as they became due at the time of the transfers of the Payments.

27. The Debtor was insolvent or was rendered insolvent as a result of the transfers of the Payments.

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21. Therefore, the transfers of the Payments may be avoided pursuant to 11 U.S.C. §548 and are recoverable from the Defendant pursuant to section 550(a).

COUNT IV– IMPLIED FRAUDULENT TRANSFER—STATE LAW

22. The allegations of each of the paragraphs above are incorporated by reference here.

23. The Debtor owed money to creditors holding allowable unsecured claims against this bankruptcy estate before the time of the transfers of the Payments.

24. The Debtor did not receive a reasonably equivalent value in exchange for the Payments.

25. The sum of the Debtor's debts was greater than all of the assets of the Debtor at fair valuation at the time of the transfers of the Payments.

26. The Debtor was generally not paying its debts as they became due at the time of the transfers of the Payments.

27. The Debtor was insolvent or was rendered insolvent as a result of the transfers of the Payments.

28. At the time of the transfers of the Defendant Payments the Debtor was engaged or about to engage in a business or a transaction for which the remaining assets of the Debtor was unreasonably small in relation to the business or transaction.

29. At the time of the transfers of the Payments the Debtor intended to incur or believed or reasonably should have believed that it would incur debts beyond its ability to pay as they came due.

30. Therefore, the transfers of the Payments may be avoided pursuant to O.R.C. §§ 1336.04 and 1336.05, and 11 U.S.C. §544 and are recoverable from the Defendant pursuant to section 550(a).

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28. At the time of the transfers of the Payments the Debtor was engaged or about to engage in a business or a transaction for which the remaining assets of the Debtor was unreasonably small in relation to the business or transaction.

29. At the time of the transfers of the Payments the Debtor intended to incur or believed or reasonably should have believed that it would incur debts beyond its ability to pay as they came due.

30. Therefore, the transfers of the Payments may be avoided, pursuant to O.R.C. §§ 1336.04 and 1336.05, and 11 U.S.C. §544 and are recoverable from the Defendant pursuant to section 550(a).

COUNT VI – PREFERENCE

31. The allegations of each of the paragraphs above are incorporated by reference here.

32. The transfer of the Payments on or after March 13, 2024, were made to or for the benefit of Defendant.

33. The transfer of the Payments on or after March 13, 2024, and the transfer of the Security Interest to Defendant were for or on account of an antecedent debt owed by the Debtor before such transfer was made.

34. The transfer of the Payments on or after March 13, 2024, and the transfer of the Security Interest to Defendant were enabled Defendant to receive more than such creditor would receive in this case under Chapter 7 of Title 11 of the United States Code, and if Defendant received payment of such debt to the extent provided by Title 11 of the United States Code.

35. Under 11 U.S.C. § 547(e) the transfer of the Defendant's security interest is deemed to have occurred on June 10, 2024.

36. Therefore, pursuant to 11 U.S.C. § 547, Debtor may avoid the transfer of the Payments on or after March 13, 2024, and the transfer of the Security Interest to Defendant.

COUNT V – RECOVERY

37. The allegations of each of the paragraphs above are incorporated by reference here.

38. Therefore, Pursuant to 11 U.S.C. §§ 544, 547, 548 and 550 the Debtor may recover the value of the Payments from Defendant.

39. Pursuant to 11 U.S.C. § 502 the Claim maybe disallowed until the Payments are returned to the Debtor by the Defendant.

COUNT VI – PREFERENCE

31. The allegations of each of the paragraphs above are incorporated by reference here.

32. The transfer of the Payments on or after March 13, 2024, were made to or for the benefit of Defendant.

33. The transfer of the Payments on or after March 13, 2024, and the transfer of the Security Interest to Defendant were for or on account of an antecedent debt owed by the Debtor before such transfer was made.

34. The transfer of the he Payments on or after March 13, 2024, and the transfer of the Security Interest to Defendant were enabled Defendant to receive more than such creditor would receive in this case under Chapter 7 of Title 11 of the United States Code, and if Defendant received payment of such debt to the extent provided by Title 11 of the United States Code.

35. Under 11 U.S.C. § 547(e) the transfer of the Defendant's security interest is deemed to have occurred on June 10, 2024.

36. Therefore, pursuant to 11 U.S.C. § 547, Debtor may avoid the transfer of the Payments on or after March 13, 2024, and the transfer of the Security Interest to Defendant.

COUNT V – RECOVERY

37. The allegations of each of the paragraphs above are incorporated by reference here.

38. Therefore, Pursuant to 11 U.S.C. §§ 544, 547, 548 and 550 the Debtor may recover the value of the Payments from Defendant.

39. Pursuant to 11 U.S.C. § 502 the Claim maybe disallowed until the Payments are returned to the Debtor by the Defendant.

COUNT VI – PARTIES TO ASSERT RIGHTS

40. The allegations of each of the paragraphs above are incorporated by reference here.

PRAYER FOR RELIEF

WHEREFORE, the Plaintiff, Alrachid LLC, as debtor, debtor-in-possession and or the reorganized debtor, requests Judgment as follows:

1. That this Court enter an order disallowing in its entirety Defendant's Claim;
2. That this Court enter an order that the Agreement is void under applicable state law and ordering Defendant to return the Payments to the estate;
3. That this Court enter an order avoiding the transfers of the Payments to Defendant as they were fraudulent transfers under Federal and Ohio state law;
4. That this Court enter an order avoiding the transfers of the Payments after March 13, 2024 and the transfer of the Security Interest to Defendant as they were preferential transfers;
5. That this Court declare that the liens of the Defendant are invalid against the assets of the estate and that the Defendant is only an unsecured creditor of this Estate;
6. That any Defendant failing to answer or failing to file a responsive pleading in this process, be forever barred from asserting any such claim, exemption or interest; and

such further relief and such further equities as this Court deems just.

Respectfully submitted,

/s/ Frederic P. Schwieg

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Attorney for Debtor

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41. Defendant is required to answer or file a responsive pleading to this complaint or be forever barred from asserting any claim, exemption, encumbrance or other interest in the Defendant Payments or proceeds received from the sale thereof.

COUNT VII- DECLARATORY JUDGMENT

42. The allegations of each of the paragraphs above are incorporated by reference here.

43. There were $318,112.37 in superior filed liens against all assets of the Debtor on the Petition Date. The total value of the Debtor's assets on the Petition Date that could have been subject to the Defendant's security interest and the other senior security interests was $89,460.10.

44. The under 11 U.S.C. § 506(d) court should declare that Defendant's remaining Claims, if any, are unsecured against any assets of the estate.

WHEREFORE, the Plaintiff, Alrachid LLC, as debtor, debtor-in-possession and or the reorganized debtor, requests Judgment as follows:

1. That this Court enter an order disallowing in its entirety Defendant's Claim;
2. That this Court enter an order that the Agreement is void under applicable state law and ordering Defendant to return the Payments to the estate;
3. That this Court enter an order avoiding the transfers of the Payments to Defendant as they were fraudulent transfers under Federal and Ohio state law;
4. That this Court enter an order avoiding the transfers of the Payments after March 13, 2024 and the transfer of the Security Interest to Defendant as they were preferential transfers;
5. That this Court declare that the liens of the Defendant are invalid against the assets of the estate and that the Defendant is only an unsecured creditor of this Estate;